IN THE NATIONAL COMPANY LAW TRIBUNAL
SINGLE BENCH, CHENNAI

CP/403/CAA/2019
In
CA/157/CAA/2019

Under Section 230 to 232 of the Companies Act 2013

In the matter of Scheme of Amalgamation

Between

M/s. Sundaram BPO India Limited
(Transferor Company)

And

M/s. Sundaram Business Services Limited
(Transferee Company)

And

THEIR RESPECTIVE MEMBERS

Order delivered on: 16th April, 2019

CORAM

CH. MOHD SHARIEF TARIQ, MEMBER (J)

For the Petitioner(s):Mr. A.K Mylsamy, Counsel
Mr. A.G Sathyanarayana, Counsel
For OL :K. Manivanan, Authorised Representative

O R D E R

Per: CH. MOHD SHARIEF TARIQ, MEMBER (J)

1. Under Consideration is a joint Company Petition No. 403/CAA/2019 filed under Section 230 to 232 of the Companies Act, 2013 r/w the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016. The instant

Petition pertain to the proposed Scheme of Amalgamation by virtue of which M/s. **Sundaram BPO India Limited** (hereinafter referred to as **'Transferor Company'**) is proposed to be transferred, amalgamated and vested with M/s. **Sundaram Business Services Limited** (hereinafter referred to as **'Transferee Company'**) as a going concern.

2. The Transferor Company is an unlisted Public Company, incorporated on 07.08.2012 under the provisions of the Companies Act, 1956 having its registered office at No. 21, Patullos Road, Chennai-600002, Tamil Nadu. The Transferee Company is also an unlisted Public Company, incorporated on 12.08.2005 under the Companies Act 1956, and has its registered office at No. 21, Patullos Road, Chennai-600002, Tamil Nadu.

3. The objectives of the Transferor Company are to acquire and undertake the whole or any part of the business, good will and assets of any person, firm or company carrying on or proposing to carry on any business which this company is authorised to carry on etc. The Transferee Company is

engaged in the business of providing and/or arranging various services and undertaking activities relating to information technology enabled services in the areas of accounting, insurance, banking, human resources, knowledge process outsourcing, document conversion, data processing, health care, media and publishing, legal, telecom and other areas for and on behalf of banks, companies, bodies corporate, trusts, funds, firms, associations, institutions, individuals and any other person in India and abroad to undertake software development and activities relating to maintenance of software etc.

4. This Bench vide its Order dated 19.02.2019, in CA/157/CAA/2019 dispensed with the convening and holding of the meeting of the Equity Shareholders, Secured and Unsecured Creditors of the Transferor Company and the Transferee Company. The Petitioner Companies have complied with all the Orders passed by this Bench.

5. The Counsel appearing for the Petitioner Companies submitted the reasons and circumstances leading to and justifying the proposed Scheme of Amalgamation. He has submitted that the Transferor and the Transferee Company are wholly owned subsidiaries of Sundaram Finance Holding Limited and the amalgamation is therefore within the Group Companies. He has further submitted that the proposed amalgamation would pave the way for sustained growth and profitability of the group as a whole in the long run.

6. The Scheme provides that the whole of the Undertakings of the Transferor Company comprising all the properties, assets, rights and all the debts and liabilities of whatsoever nature and wheresoever situated, including the immovable properties, if any, shall be transferred to and vested in and/or be deemed to be transferred to and vested in the Transferee Company as a going concern from the Appointed date.

7. The Regional Director, Southern Region (for short, **'RD'**) in his Affidavit dated 22.03.2019, submitted that Clause 8

of Part B of the Scheme of the Companies provides for the protection of the interest of the employees of the Transferor Company.

8. The RD has further submitted that as per report of the RoC, Chennai the Transferor and Transferee Companies are regular in filling their statutory returns. There is no complaint/inspection/investigation or prosecution pending against the Transferor and the Transferee Companies.

9. In Para 9 of its report, RD has submitted that clause 3.1 of Part B of the scheme has stated that the authorised capital of the Transferor Company will be merged with the authorised capital of the Transferee Company. The RD has suggested that the Transferee Company may be directed to file the amended MOA and AOA with the RoC, Chennai for its records. The RD has also suggested that as per the clause (i) to sub Section (3) of Section 232 of the Companies Act, 2013 the Transferee Company has to pay the fees, if any, for the enhanced authorised capital subsequent to the Amalgamation after setting off the fees

paid by the Transferor Company. In the light of the above the Transferee Company may be directed to comply with the above provisions of the Act by making an application with the RoC, Chennai for payment of the balance fee as applicable under the provisions of the Act and rules framed thereunder. In this regard, an authorised representative of the Transferee Company has filed an affidavit dated 12.04.2019 deposing therein that the Transferee Company undertakes to duly comply with the requirements as set out under Section 232(3)(i) of the Companies Act, 2013 and pay the shortfall after setting off the fees already paid by the Transferor Company, if any, that arises on the increase in its authorised share capital consequent to the Scheme of Amalgamation.

10. The RD has also submitted that the scheme has provided for the dissolution of the Transferor Company viz., M/s. Sundaram BPO India Limited, without winding up.

11. The Official Liquidator (In short, **'OL'**) in his Report dated 01.04.2019, submitted that as per Order dated

19.02.2019, he has nominated M/s. P Chandrasekar LLP, Chartered Accountants, one of the firm of Chartered Accountants from the panel maintained by his office to look into the Scheme of Amalgamation and to scrutinize the books and accounts of the Transferor Company and to file their report on the affairs of the Transferor Company in terms of Sections 230 to 232 and other applicable provision of the Companies Act, 2013.

12. The Chartered Accountants verified the books and accounts and other records and submitted that the Transferor Company is a wholly owned subsidiary of M/s. Sundaram Finance Holding Limited. However, for the purpose of maintaining the minimum number of shareholders for a public Limited Company, as per the provisions of the Companies Act and rules made thereunder, there are 6 other registered shareholders each holding one share. The beneficial interests for the 6 shares are held by the Holding Company and the registered owners have filed the declaration of Beneficial Interest in this regard with Registrar of Companies.

13. It has also been submitted by the Charted Accountant that the share exchange ratio has been fixed by on the basis of the share valuation report submitted by M/s. Brahmayya & Co. Dated 11.06.2018. On overall review of the share valuation report, the share valuation and the share exchange ratio fixed for the scheme of amalgamation seems to be fair.

14. The OL has submitted that on review of the books of account of the Transferor Company as on 28th February, 2019, the Chartered Accountants have observed that the amount due towards other unsecured creditors are arising out of routine business transaction on a regular basis. Therefore, the amalgamated entity should ensure to meet the dues towards them as and when the same become due and if performed, the position of the unsecured creditors is not likely to get affected by the proposed scheme of amalgamation.

15. The Chartered Accountants have observed that all the 'Permanent' employees in service of the Transferor Company shall be deemed to have become the employees

of the Transferee Company on the approval of the scheme of amalgamation without any interruption of service and on terms and conditions no less favourable to them than those applicable to them immediately before the transfer. AS per the HR policy of the Transferor Company all employees joining below the Manager cadre are on probation for the first 6 months and are made permanent only on fulfilling the prescribed conditions of performance. The Chartered Accountants have further observed that as on 28th February, 2019, there were 87 employees on probation and they will also be transferred to the Transferee Company on approval of the scheme of amalgamation and the terms of employment will not be less favourable to the present terms of employment. The OL has suggested that the Amalgamated entity should ensure to transfer the employees on probation as well on approval of the scheme so as to ensure that the position of the employees is not affected by the proposed scheme of amalgamation.

16. The OL has submitted that the Chartered Accountants On verification of records and the information and

explanation provided, observed that the company has a contingent Liability of ESI case (claims not acknowledged as debts) aggregating to Rs.3.31 lakh as at 28th February, 2019. Against this, the company has paid a deposit of Rs.1.04 lakh. If the outcome of the case is against the company then the amalgamated entity will have to make the payment to the authorities at that point of time.

17. The OL has stated that the Chartered Accountant have reviewed broadly the Audited Profit and Loss Accounts, Balance Sheet and other relevant books and records of the transferor company for the financial year ending 31st March, 2016, 31st March, 2017, 31st March, 2018 and the records as on the date of audit, i.e. 21st March, 2019 and have also broadly reviewed the books of account maintained by the company on an overall basis. The Chartered Accountants have stated that the company is carrying a sum of Rs.124.85 lakh as Advance Income Tax and Tax Deducted at Source (net of provisions) under Long Term loans and, advances. In the absence of confirmed refund order from the Income Tax Department,

realisability and recoverability of the same cannot be commented upon. Non-recoverability of the amounts mentioned as long term loans and advances might also affect the share valuation and the resultant share swap ratio. In this regard, an authorised representative of the Transferee Company has filed an affidavit stating therein that the realisability and recoverability of the Advance Income Tax and Tax Deducted at source (net provision) under Long Term Loans and Advances is certain and efforts are on to recover the same at the earliest. He has further submitted that the Transferor Company and Transferee Company are both wholly-owned subsidiaries of Sundaram Finance Holdings Limited (SFHL) and consequent to the amalgamation, the Transferee Company will issue and allot equity shares in accordance with clause 4 of the Scheme to the Holding Company. In view of this, the share valuation and the resultant share swap ratio is not likely to get affected and even if there is a change in the share swap ratio, it will not affect the interests of the shareholders.

18. The Chartered Accountants have stated that they have not come across any transaction evoking suspicion, which would involve misfeasance and diversion of funds on the part of the Directors of the Transferor Company viz. M/s. Sunaram BPO India Limited.

19. The OL has submitted that the Charted Accountants have concluded that the business of the Transferor Company has not been conducted in a manner prejudicial to the interest of its members or creditors or the public.

20. As per Clause 12 of Part B of the Scheme of Amalgamation, all the proposed accounting treatment is in conformity with the applicable accounting standard specified under Section 133 of the Companies Act, 2013, and to this effect the CA's Certificate is annexed to the Petition at page No. 261.

21. The Scheme will not cast any additional burden on the stakeholders and also will not prejudicially affect the interests of any class of the creditors in any manner. There is no requirement to modify the proposed Scheme.

The Scheme of Amalgamation appears to be fair and reasonable and is not contrary to public policy and not violative of any provisions of law. All the statutory compliances have been made under section 230 to 232 of the Companies Act, 2013.

22. Therefore, the Scheme annexed with Petition stands sanctioned which shall be binding on all the Equity Shareholders, the Creditors of the companies and their respective employees. The Scheme shall become operative from the appointed date viz., 1st April 2018.

23. However, it is further clarified that this Order will not be construed as an order granting exemption from payment of stamp duty or taxes or any other charges, if payable, as per the relevant provisions of law or from any applicable permissions that may have to be obtained or, even compliances that may have to be made as per the mandate of law.

24. The Companies to the said Scheme or other person interested shall be at liberty to apply to this Bench for any

direction that may be necessary with regard to the working of the said Scheme.

25. The Petitioner Companies shall file with the Registrar of Companies the certified copy of this Order within 30 days of the receipt of the order.

26. The Transferor Company shall be dissolved without winding up from the date of the filling of the certified copy of this order with the Registrar of Companies.

27. Upon receiving the certified copy of this order, the RoC, Chennai, is directed to place all documents relating to the Transferor Company with that of the transferee Company and the files relating to the Transferor Company shall be consolidated with the files and records of the Transferee Company.

28. The Order of sanction to this Scheme shall be prepared by the Registry as per the relevant format provided under the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 notified on 14th December, 2016.

29. Thus, the Scheme stands sanctioned and CP/403/CAA/2019 stands **disposed of.**

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(CH. MOHD SHARIEF TARIQ)
MEMBER (JUDICIAL)

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